

Part-4 ,Creating a Production Order



Dynamics 365

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Creating a Production Order for a Bicycle in D365 F&O – Step-by-Step Guide

Now, it's time to bring all these elements together by creating a **Production Order** in the USMF legal entity for a discrete manufacturing scenario. In this example and upcoming this series of blogs, we'll walk through the complete production order lifecycle—from creation to completion—for a **Bicycle** item manufactured at **Site 1** and **Warehouse 11**.

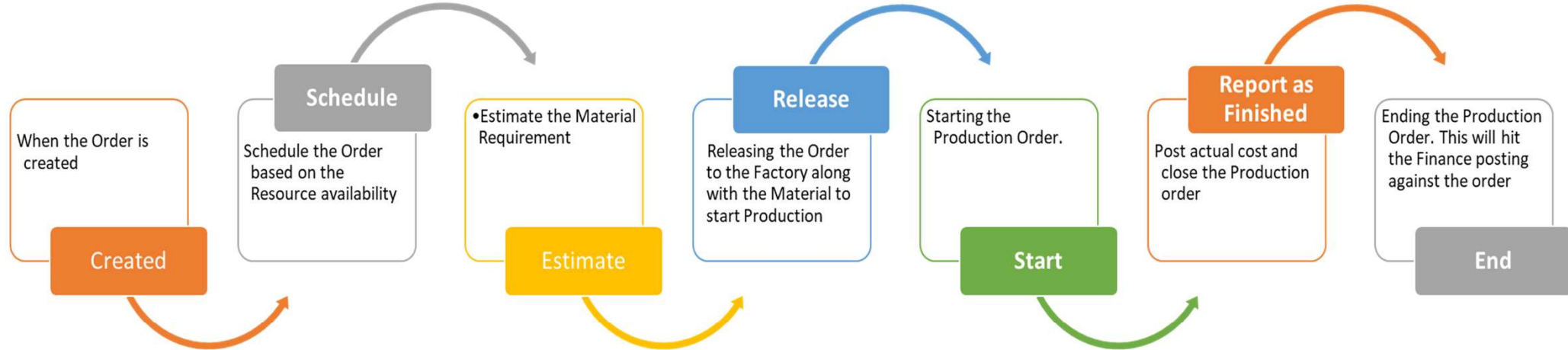
Let's consider the following use case:

Item: Bicycle **Item Number:** P-000020 **Production Quantity:** 1

BOM Components to produce 1 unit of the Bicycle:

- **Wheels (P-000022)** – Quantity: 2
- **Carbon Fiber Frame (P-000044)** – Quantity: 1
- **Handlebars (P-000023)** – Quantity: 1
- **Pedals (P-000024)** – Quantity: 2

Below are the steps/status of the Production order:



Step 1: Create the Production Order

1. Go to **Production control > Production orders > All production orders**.
2. Click **New**.
3. Select the **Bicycle item number** that we already set up with a BOM and Route.
4. Enter the **site**, **warehouse**, and **quantity** you want to produce.
5. Click **Create**.

Standard view

Create production order

IDENTIFICATION

Production
P004376

Item number
P-000020

Name
Bicycle

INVENTORY DIMENSIONS

Site
1

Warehouse
11

PRODUCTION

Type
Standard

Quantity
1.00

Delivery
6/13/2025

Time
10:00 AM

Planning priority
0.00

BOM/ROUTE

BOM/route date
6/13/2025

BOM number
001775

Route number
001598

GROUPINGS

Pool

Production group

SETUP

Ledger
Item and category

Reservation
Manual

Release to warehouse
Allow partial reservation

PROJECT

Project ID

Activity number

Posting method
None

FINISHED ITEM

Category

Line property

Sales currency

Unit

Select the site; the active BOM and route for the item will populate automatically

Active BOM and route auto-populate based on item and site

TEAM MEMBERS	Reference 1 (person)	PLANNING (DATE REFERENCE)	SUMMARY REFERENCE	OTHER
Reference 1 (type)		Master plan	Reference production	Original production
	Reference 2 (type)		FOCUS	
		Location	Reference sheet	

Step 2: Schedule the Production Order (Optional): You can schedule now or later depending on your process.

This step is optional and depends on your process requirements. You can choose to schedule it now or later. Alternatively, you can proceed directly to the estimation step after creation.

Step 3: Estimate

What it does: This step calculates what materials and resources are needed, along with the estimated cost.

- Select your new production order.
- Click **Estimate** on the action pane.
- Review and click **OK**.

This gives you an idea of what's needed and the expected cost before moving ahead.

Production order (details) | Standard view

M1-000075

General

M1-000075 | P-000020 | Bicycle

IDENTIFICATION	PRODUCTION	Time	Scheduling status	DATE SCHEDULED
Production M1-000075	Type Standard	10:00 AM		Start date
Item number P-000020	Quantity 1.00	Planning priority 0.00	Remain status	End date
Name Bicycle	Delivery 7/16/2025	Color 128	GROUPINGS	Start time 12:00 AM
		STATUS	Pool	End time 12:00 AM
		Status	Production group	
		Created		

Setup

P-000020 | M1-000021

BOM/route date	ROUTE	SCHEDULING	OTHER	MEASUREMENT
7/16/2025	Route number M1-000021	Property	Ledger	Height
BOM number 000000	Jobs	Locked	Item and resource	Width
			Profit-setting	

M1-000075

General M1-000075 | P-000020 | Bicycle

IDENTIFICATION	PRODUCTION	Time	Scheduling status	DATE SCHEDULED
Production	Type	10:00 AM	Operations scheduled	Start date
M1-000075	Standard	Planning priority	Remain status	7/16/2025
Item number	Quantity	0.00	Material consumption	End date
P-000020	1.00	Color		7/16/2025
Name	Delivery	128	GROUPINGS	Start time
Bicycle	7/16/2025	STATUS	Pool	09:00 AM
		Status	Production group	End time
		Released		09:00 AM

Status Released

Setup P-000020 | M1-000021

BOM/route date	ROUTE	SCHEDULING	OTHER	MEASUREMENT
7/16/2025	Route number	Property	Ledger	Height
BOM number	M1-000021		Item and resource	
n 000000	Jobs	Locked	Profit-setting	Width

Maintain

Split

Process

Estimate Release

Report as finished

Log

End

Reset status

Inventory

Transactions

On-hand

Lot

Trace

Update registrations

Order details

BOM

Formula

Cost

Route

All jobs

View progress

Consolidated batch order

Consolidated on-hand

Add to

Remove from

Cases

Create case

View cases

Production order (details) | Standard view Production

M1-000075

General

M1-000075 P-000020 Bicycle

IDENTIFICATION	PRODUCTION	Time	Scheduling status	DATE SCHEDULED
Production	Type	10:00 AM	Operations scheduled	Start date
M1-000075	Standard	Planning priority	Remain status	7/16/2025
Item number	Quantity	0.00	Route consumption	End date
P-000020	1.00	Color	GROUPINGS	7/16/2025
Name	Delivery	128	Pool	Start time
Bicycle	7/16/2025	STATUS	Production group	09:00 AM
		Status		End time
		Started		09:00 AM

Setup

P-000020 M1-000021

BOM/route date	ROUTE	SCHEDULING	OTHER	MEASUREMENT
7/16/2025	Route number	Property	Ledger	Height
	M1-000021		Item and resource	

← ≡ Edit Delete New production order New batch order Tax information

Production order Schedule Warehouse View Manage costs Options

Maintain

Process

Inventory

Order details

Consolidated batch order

Cases

Split

Estimate
Release
Start

Report as finished
End

Log
Reset status

Transactions
On-hand
Lot

Trace
Update registrations

BOM
Formula
Cost

Route
All jobs
View progress

Consolidated on-hand
Add to
Remove from

Create case
View cases

Production order (details) | Standard view

M1-000076

General

M1-000076 P-000020 Bicycle

IDENTIFICATION

PRODUCTION

Time

Scheduling status

DATE SCHEDULED

Production
M1-000076

Type
Standard

Time
10:00 AM

Operations scheduled

Start date
7/16/2025

Item number
P-000020

Quantity
1.00

Planning priority
0.00

Remain status
Ended

End date
7/16/2025

Name
Bicycle

Delivery
7/16/2025

Color
128

GROUPINGS

Start time
12:00 AM

STATUS

End time
12:00 AM

Status
Reported as finished

Setup

P-000020 M1-000021

BOM/route date

ROUTE

SCHEDULING

OTHER

MEASUREMENT

7/16/2025

Route number
M1-000021

Property

Ledger

Height

BOM number
0 000000

Jobs

Locked

Item and resource

Width

Profit-setting

← ≡ Edit Delete New production order New batch order Tax information Production order Schedule Warehouse View Manage costs Options

Maintain

Process

Inventory

Order details

Consolidated batch order

Cases

Split

Estimate
Release
Start

Report as finished
End

Log
Reset status

Transactions
On-hand
Lot

Trace
Update registrations

BOM
Formula
Cost

Route
All jobs
View progress

Consolidated on-hand
Add to
Remove from

Create case
View cases

Production order (details) | Standard view

M1-000076

General M1-000076 P-000020 Bicycle

IDENTIFICATION	PRODUCTION	Time	Scheduling status	DATE SCHEDULED
Production M1-000076	Type Standard	10:00 AM		Start date 7/16/2025
Item number P-000020	Quantity 1.00	Planning priority 0.00	Remain status Ended	End date 7/16/2025
Name Bicycle	Delivery 7/16/2025	Color 128	GROUPINGS	Start time 12:00 AM
		STATUS	Pool	End time 12:00 AM
		Status Ended	Production group	

Status As Ended



Setup P-000020 M1-000021

BOM/route date	ROUTE	SCHEDULING	OTHER	MEASUREMENT
7/16/2025	Route number M1-000021	Property	Ledger	Height
BOM number 0 000000	Jobs	Locked	Item and resource	Width
			Profit-setting	